

and sophisticated business people) have been most afraid of stocks during the precise periods when stocks have done their best (i.e., from the mid-1930s to the late 1960s) while being least afraid precisely when stocks have done their worst (i.e., early 1970s and recently in the fall of 1987). Does the success of Ravi Batra's book *The Great Depression of 1990* almost guarantee a great national prosperity?

It's amazing how quickly investor sentiment can be reversed, even when reality hasn't changed. A week or two before the Big Burp of October, business travelers were driving through Atlanta, Orlando, or Chicago, admiring the new construction and remarking to each other, "Wow. What a glorious boom." A few days later, I'm sure those same travelers were looking at those same buildings and saying: "Boy, this place has problems. How are they ever going to sell all those condos and rent all that office space?"

Things inside humans make them terrible stock market timers. The unwary investor continually passes in and out of three emotional states: concern, complacency, and capitulation. He's concerned after the market has dropped or the economy has seemed to falter, which keeps him from buying good companies at bargain prices. Then after he buys at higher prices, he gets complacent because his stocks are going up. This is precisely the time he ought to be concerned enough to check the fundamentals, but he isn't. Then finally, when his stocks fall on hard times and the prices fall to below what he paid, he capitulates and sells in a snit.

Some have fancied themselves "long-term investors," but only until the next big drop (or tiny gain), at which point they quickly become short-term investors and sell out for huge losses or the occasional minuscule profit. It's easy to panic in this volatile business. Since I've run Magellan, the fund has declined from 10 to 35 percent during eight bearish episodes, and in 1987 alone the fund was up 40 percent in August, down 11 percent by December. We finished the year with a 1 percent gain, thus barely preserving my record of never having had a down year—knock on wood. Recently I read that the price of an average stock fluctuates 50 percent in an average year. If that's true, and apparently it's been true throughout this century, then any share currently selling for \$50 is likely to hit \$60 and/or fall to \$40 sometime in the next twelve months. In other words, the high for the year (\$60) is 50 percent higher than the low (\$40). If you're the kind of buyer who can't resist getting in at \$50, buying more at \$60 ("See, I was right, that sucker *is* going up"), and then selling out in despair at \$40 ("I guess I was wrong. That sucker's going *down*") then no shelf of how-to books is going to help you.

Some have fancied themselves contrarians, believing that they can profit by zigging when the rest of the world is zagging, but it didn't occur to them to